TOPIC 1 · THE GLOBAL ECONOMY

Fortune (Goldman Sachs, PIIE, IMF data)
Published 26 Oct 2026

China grows 4.5% as exports surge despite US tariffs

China's real GDP grew **4.5%** over the year to the September quarter, slightly above the 4.4% consensus. September exports jumped **36.3%** year on year, the fastest pace since February, even though about nine in ten Chinese exports to the US now face tariffs.

WHAT HAPPENED

- September **industrial production** grew 5.5% year on year, and retail sales beat expectations. Growth is on track for the 4.5–5% target.
- Average **US tariffs** on Chinese imports are 35.2%, and China's tariffs on US goods are 31.9% (PIIE, August 2026).
- 88.8% of Chinese exports to the US face tariffs, against about 100% of US exports to China.
- US imports from China are still below 2024 levels but have risen since their February 2026 low.
- China's **augmented fiscal deficit** narrowed from 11% of GDP to 9.4% (12-month average). Goldman estimates 10.0% for 2026.
- Living standards still differ widely: China's GDP per capita is US$15,370, against more than US$95,000 in the US (IMF).

Tariff: a tax on imports, which raises their domestic price.
Augmented deficit: a broad fiscal measure that includes off-budget local government borrowing.

KEY NUMBERS

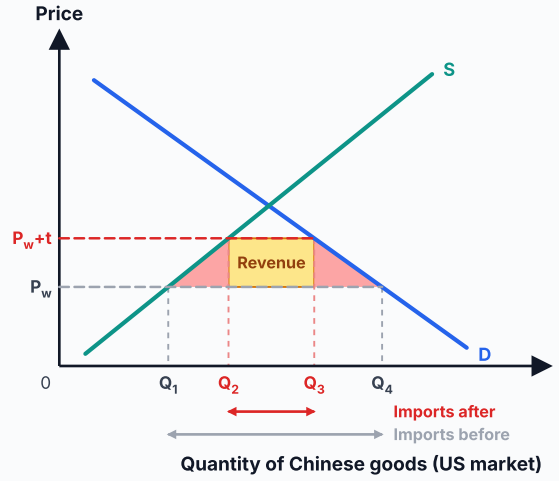
4.5%
China real GDP, Q3, year on year

36.3%
rise in China's September exports, year on year

35.2%
average US tariff on Chinese goods

31.9%
average Chinese tariff on US goods

DIAGRAM — What a tariff does in the importing country



Before the tariff, US buyers pay the world price P_w and import Q_1–Q_4. The tariff lifts the domestic price to P_w+t.

US consumers pay more and buy less. **US producers** expand output to Q_2. The **government** collects the revenue box. Imports shrink to Q_2–Q_3, and the red triangles are deadweight losses.

Exam angle: the diagram shows imports into the US shrinking, yet China's **total** exports are surging. The source doesn't say where the extra exports went, so ask students to check customs data on where tariffed goods are being redirected.

FLOW CHART — One possible explanation for students to test

US tariffs of ~35% on Chinese goods → Chinese goods dearer in the US → US imports from China below 2024 levels → Exporters look for other markets? → **China's total exports still up 36.3%**

SYLLABUS LINK
Topic 1 – **Economic growth in China**; protection and its effects on trade flows, consumers, producers and government.

TRY THIS
Using a diagram, explain the effects of a tariff on consumers, producers and the government in the importing country. **(5 marks)**

Fortune: https://fortune.com/2026/10/26/trump-china-economy-tariffs-growth-goldman-sachs-deficit/

Diagrams are illustrative, not to scale